Diplomacy in the Modern Age:

Are energy resources a blessing or a curse for smaller states?

JOSHUA ALEXANDER JOSEPH MᶜMANUS

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2401049

BA (Hons) – Security, Intelligence and Cyber

The University of Buckingham (2024-2026)

Author's Notes

Joshua.A.J.McManus (https://orcid.org/0009-0004-5910-7707)

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Thank you,

- Joshua.A.J.McManus.

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Energy resources, while essential for the development of nations, can have vastly different outcomes for states depending on how they are managed, as evidenced by historical and contemporary examples alike.

Energy has been one of the earth's greatest resources, from the moat pit of Culross to the Ürümqi Solar Farm in Xinjiang. Energy, in all its forms, has been sought and fought over ever since humanity first harnessed fire. The importance of energy cannot be overstated, it has paved the way for evolution and revolutions all throughout history. Without access to steam power and the energy therefrom, George Stephenson would not have been able to claim the title of the "Father of Railways" for pioneering railways and locomotion globally.

Coal Power provided the UK with a great advantage in the advancement of the fields of knowledge and technology. The Great Northern coalfield is often regarded as "the driving force behind, Britain's Industrial Revolution"[1] for how it produced over "56 million tons" of coal each year, while at its peak.[2] From the 18th century until the 2005 closure of the Big E (Ellington Collier), deep mining was one of the biggest industries in the North East, employing a quarter million men before the start of World War one.[3]

[1] Newcastle City Council (n.d.). *History and Heritage | Newcastle City Council*. [online] www.newcastle.gov.uk. Available at: https://www.newcastle.gov.uk/our-city/history-and-heritage [Accessed 30 Oct. 2024].

[2] Evening Chronicle (2009). *The North East dug out a place in world history with its black gold*. [online] Chronicle Live. Available at: https://www.chroniclelive.co.uk/news/north-east-news/north-east-dug-out-place-1451133 [Accessed 30 Oct. 2024].

[3] BBC (2008). *Coal mining... past and present*. [online] www.bbc.co.uk. Available at: https://www.bbc.co.uk/tyne/content/articles/2008/08/04/coal_past_present_082008_feature.shtml [Accessed 30 Oct. 2024].

Harnessing of energy has propelled the British empire forward like no other nation, the ability to travel the seas via windsails allowed for an exponential expansion from an island off the coast of mainland Europe, to the largest empire (geographically, by area[4]) and the use of coal and steam power allowed for great advancements in technology. This allowed Britian to produce goods more efficiently, giving it a significant economic and technological edge over rivalling empires. Most crucially, the use of coal powered steamships over sail ships – followed very soon after the use of iron hulled steamships – allowed for the might of the Royal Navy to expand drastically.

His Majesty's Naval Service has always been the shining jewel of Great Britian, from granting the ability to project power across the world via the controlling of critical trade routes, to enforcing "global peace under British Rule" (Pax Brittanica – British Peace). As the empire expanded, energy resources became fundamental to its function. Britian not only used coal to fuel its domestic industries but also to export technologies to its colonies, such as "The 2.5-mile (about four-kilometre) track (…) from Flinders Street Station to Sandridge, now known as Port Melbourne." [5] which was the first steam rail line in Australia.

[4] Taagepera, R. (1997). Expansion and Contraction Patterns of Large Polities: Context for Russia. *International Studies Quarterly*, 41(3), pp.475–504. doi: https://doi.org/10.1111/0020-8833.00053.

[5] National Museum of Australia (n.d.). *National Museum of Australia - First steam railway*. [online] www.nma.gov.au. Available at: https://www.nma.gov.au/defining-moments/resources/first-railway-line.

How Energy Resources can Hinder a Small State.

However, abundance of energy, like any other resources, can come at a high cost to smaller economies and Less Economically Developed Countries (LEDCs). Nigeria provides a clear example of how energy resources can be both an economic tool and a potential burden. Nigeria may have a larger and stronger economy in the scale of African Nations, the federal republic has a considerably lower rating on the global scale. Nigeria, the 6th most populous nation with over 236,000,000 citizens[6], is known for its oil and natural gas production.

Nigeria's economy is characterised mainly by Agriculture (21%), Telecoms (15%), Manufacturing (15%), Trade (13%), Construction (10%) and Resource mining/quarrying (7%). (These figures refer to the Distribution of the GDP across Nigeria's economic sectors[7].) Nigeria, as one of the six African member states of the Organization of the Petroleum Exporting Countries (OPEC states), is key in the upholding of international energy – this can be seen through a quote from the Commission Chief Executive of the Federal Ministry of Petroleum Resources' Upstream Petroleum Regulator Commission (FMPRs' NUPRC) "Nigeria continues to dominate as Africa's largest producer of Crude Oil, boasting proven reserves of 37.50 billion barrels and a production capacity of approximately 2.19 million barrels per day"[8].

[6] Central Intelligence Agency (2022). *Nigeria - The world factbook*. [online] www.cia.gov. Available at: https://www.cia.gov/the-world-factbook/countries/nigeria/ [Accessed 1 Nov. 2024].

[7] Doris Dokua Sasu (2024). *Nigeria: GDP by activity sector 2023*. [online] Statista. Available at: https://www.statista.com/statistics/1207951/gdp-distribution-across-sectors-in-nigeria/ [Accessed 1 Nov. 2024].

[8] Gbenga Olu Komolafe (2024). *NIGERIA: LEADING CRUDE OIL PRODUCER IN AFRICA – Nigerian Upstream Petroleum Regulatory Commission*. Words taken as a quote from Online Publication from the FMPR's NUPRC's website: https://www.nuprc.gov.ng/nigeria-leading-crude-oil-producer-in-africa/.

Nigeria's over reliance on oil and gas exports, while beneficial in the short term, has stunted growth in other sectors. This leaves Nigeria in a vulnerable position, especially when you consider the volatility of the global market of oil. This can be seen from 2014-2015 where the price of petroleum dropped significantly. "After peaking at $107.95 a barrel on June 20, 2014, petroleum prices plunged to $44.08 a barrel by January 28, 2015, a drop of 59.2 percent in a little over 7 months."[9] This price fall had a major knock-on effect on all OPEC nations, Nigeria Included. While oil is not the only factor to consider, it is still interesting to see the changes in GDP in this time period. Between the years of 2009 and 2014, the GDP of Nigeria was increasing at an almost steady pace from $295.01 to $574.18 (Billions of USD) from 2015 to 2017 the GDP of Nigeria fell dramatically to $375.75 (falling by nearly 35% in 2 years)[10]. A sharp declining in revenue can damage a nation's economy, thus it is safe to say that dependency on a single resource limits the resilience of said economy. This can leave a nation in a fragile (or near fragile, for want of better words) state where external economic shocks echo upon themselves exponentially increasing the risk upon realisation.

Oil when extracted, like most resources, comes at a cost and Nigeria is no exception to that rule. Decades of unchecked oil extraction has left the Niger Delta in a state of crisis. Trans-national Corporations (TNCs) such as Shell and Chevron have contaminated water sources, disrupted ecosystems and eroded farmlands. This has left the local populous, whose

[9] Mead, D. and Stiger, P. (2015). *The 2014 plunge in import petroleum prices: What happened?* [online] Available at: https://www.bls.gov/opub/btn/volume-4/pdf/the-2014-plunge-in-import-petroleum-prices-what-happened.pdf.

[10] Macrotrends (2024). *Nigeria GDP 1960-2024*. [online] Macrotrends.net. Available at: https://www.macrotrends.net/global-metrics/countries/NGA/nigeria/gdp-gross-domestic-product [Accessed 3 Nov. 2024].

main industries (farming and fishing) rely heavily on the balance of the ecosystem, into dismay and chaos.

October 2004 marked a time in the lives of many locals that will not be forgotten, a pipeline – built and owned by the then “Royal Dutch Shell plc” (As of 2022[11] “Shell plc”) since the 1960s – carried oil through the outskirts of the Goi (A village on the banks of the Oroberekiri creek). The pipeline had ruptured, and oil began seeping out through the leak. Locals of the village “attempted to alert the pipeline operator, but both Shell and its Nigerian subsidiary had largely abandoned oil operations in Goi a decade earlier in response to local uprisings. On that day, Shell’s community relations officer was unavailable”[12] leading to Eric Dooh (who lived in the village of Goi) to contact the local police station subsequently.

The Guardian stated the following: “It wasn’t until the next day that officials climbed onboard a helicopter, (…), and confirmed what villagers already knew: oil was spreading and not letting up. Later that day, the situation in Goi went from bad to worse. Oil spilled into a local farmer’s house and connected with a cooking fire. The village, its oil-seeped creek and the surrounding mangrove forests erupted into flames.”[13] This shows how the situation was evolving at an alarming rate.

It took until the 12th of October to find and temporarily plug the 18inch (~46cm) fissure in the pipeline, using wood chippings. Once the outpour from the pipeline was

[11] Shell plc (2022). *Royal Dutch Shell plc changes its name to Shell plc | Shell Global*. [online] Shell.com. Available at: https://www.shell.com/news-and-insights/newsroom/news-and-media-releases/2022/royal-dutch-shell-plc-changes-its-name-to-shell-plc.html [Accessed 3 Nov. 2024].

[12] Craig, J. (2022). *‘We were eating, drinking, breathing the oil’: the villagers who stood up to big oil – and won*. [online] the Guardian. Available at: https://www.theguardian.com/environment/ng-interactive/2022/jun/01/oil-pollution-spill-nigeria-shell-lawsuit [Accessed 3 Nov. 2024].

[13] Ibidem (Footnote № 12)

stabilised, clamping the pipeline became possible – but 3 days too late. At this point, it is thought that over 23,000 litres of oil had been spilt.[14] This resulted in the destruction of wildlife and the ecosystems in which many of the local farmers and fishermen were so reliant on, furthermore the aforementioned fire had burnt nearly 40 acres (16 hectares) of mangroves.

Not all is bad news for Nigeria in recent years. The President of Nigeria, Bola Ahmed Tinubu, stated in his first national address on the 29th of May 2023: "The subsidy can no longer justify its ever-increasing costs in the wake of drying resources. We shall instead channel the funds into better investment in public infrastructure, education, health care and jobs that will materially improve the lives of millions."[15]. While it is clear to say this would massively increase the cost of living, in fact the prince increase would be approximately ₦1380 per gallon (from ₦780 a gallon (approximately $1) to ₦2160 a gallon ($2.80)[16]), it may however aim to push Nigeria forward in terms of its public sector.

While at this time it is purely speculative to say that this subsidiary reverse would be beneficial in terms of

[14] Ibidem (Footnote № 12)

[15] Tinubu, B. (2023). *2023 Presidential Adress*. [online] Available at: https://www.youtube.com/watch?v=A8pk7FBA6Pw [Accessed 3 Nov. 2024].

[16] Usigbe, L. (2023). *Nigeria Ends Oil Subsidy to Invest Savings in Infrastructure Development*. [online] Africa Renewal. Available at: https://www.un.org/africarenewal/magazine/august-2023/nigeria-ends-oil-subsidy-invest-savings-infrastructure-development [Accessed 3 Nov. 2024].

<u>*Are energy resources a blessing or a curse for smaller states?*</u>

It can be argued that energy resources are neither a blessing nor a curse for smaller states. The resource itself is only as useful as the intent behind their use, utility hinges on a combination of governance strategy as well as environmental sustainability principles. States with strong governance and strategic intuitions and planning tend to better leverage their natural positions and resources. An example of great management of energy resources would be the Kingdom of Norway and its Government Pension Fund Global (Often referred to as the Sovereign Wealth Fund or simply as the Oil Fund). Norway has a very strong reserve of both oil and natural gas, however when one looks at Norway's energy mix you may be surprised to find that 89.1% of electricity in Norway comes from Hydropower[17] (This data maybe misleading as only 47% of Norway's energy consumption comes electricity – Instead it would be equally justifiable to state that Hydropower was 43% of its total energy supply in 2023 while oil was only 25%)[18]

The Norwegian Oil Fund allows for Norway to allocate surplus wealth generated from its petroleum reserves. Established in 1990, its primary objective is to invest the excess funds generated in both the Oil and Gas sectors (these funds are generated from several different processes, such as taxation and dividends from the partially state owned Equinor), leading to the 'slogan' "We work to safeguard and build financial wealth for future generations.". The idea behind the oil fund was to prepare Norway for the much-anticipated decline in oil reserves and varying oil prices. The Oil fund has a current market value of

[17] International Energy Agency (IEA) (2022). *Norway - Countries & Regions - IEA*. [online] IEA. Available at: https://www.iea.org/countries/norway [Accessed 3 Nov. 2024].

[18] Ibidem (Footnote № 17)

19,280,441,909,237 NOK ($1,754,105,491,435.10 USD)[19] This comes from international investment strategies, whereby the fund has been diversified into Nealy 9,000 companies in over 71 nations[20].

On the other hand, energy resources can be seen as a curse for states with weaker frameworks, especially when those resources significantly dominate the economy. An example of another state where this can be seen is South Africa. The South African Energy Crisis has been an ongoing issue since late 2007. Eskom is the largest provider of electric power in South Africa and one of the largest on the continent. Eskom's distribution systems "supply over 86% of South Africa's needs and ~20% of the electricity produced in Africa"[21]. Eskom have implemented a tactic known as load shedding, the act of interrupting supply of electricity to certain areas when there is not enough supply to meet the demand. Eskom had stated that Load shedding is a last resort measure, only to be used when all other options have been exhausted[22].

It was thought that Eskom would begin to run out of electric power reserves by 2007, according to a 1988 report by the Department of Minerals and Energy.[23] The dwindling number of reserves, paired alongside the dramatically ageing infrastructure, created the

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[19] Norges Bank Investment Management (2019). *The fund*. [online] Nbim.no. Available at: https://www.nbim.no [Accessed 3 Nov. 2024].

[20] Ibidem (Footnote № 19)

[21] Eskom (2024). *Company Information - Eskom*. [online] www.eskom.co.za. Available at: https://www.eskom.co.za/about-eskom/company-information/ [Accessed 6 Nov. 2024].

[22] Eskom (2008). *What is Load Shedding?* [online] Archive.org. Available at: https://web.archive.org/web/20080409233818/http://www.eskom.co.za/live/content.php?Item_ID=5608 [Accessed 6 Nov. 2024].

[23] Department of Minerals and Energy (1988). *Department of Minerals and Energy*. [online] Archive.org. Available at: https://web.archive.org/web/20211015000900/http://www.energy.gov.za/files/policies/whitepaper_energypolicy_1998.pdf [Accessed 6 Nov. 2024].

perfect situation for a storm of energy instability. Energy security is fundamentally the reliable and adequate availability of energy resources in a sustainable manner, that does not harm future generations access to those resources. According to that definition, South Africa does not have a substantial level of energy security, thus highlighting the need for urgent investment in the form of both expansion and modernisation of its infrastructure. Without addressing these systematic issues, south Africa's energy future sits at the whim of time and further degradation.

Both Norway and South Africa are considered to be highly rich in energy resources, however the major difference between the two states is their ability to use and manage their resources in a sustainable and efficient way. This only proves my point that energy resources are neither a blessing nor a curse for smaller states, it is the ability to manage such resources that provides the apparent blessing and or the curse faced by the state. One cannot blame an axe for its efficiency at cutting wood, if one yields it by the head, therefore I sate once again - Energy resources, while essential for the development of nations, can have vastly different outcomes for states depending on how they are managed, as evidenced by historical and contemporary examples alike.

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